

IN THE HIGH COURT OF DELHI AT NEW DELHI

Apex Infrastructure Pvt. Ltd. vs National Highways Authority of India ... on 18 January, 2023

AIR 2023 DEL 145, (2023) 1 DLT 89

Bench: Prathiba M. Singh, J.

JUDGMENT

Prathiba M. Singh, J.

1. The petitioner, Apex Infrastructure Pvt. Ltd., has filed this petition under Section 34 of the Arbitration and Conciliation Act, 1996 challenging the Arbitral Award dated 14-08-2022 passed by the Arbitral Tribunal in disputes arising out of the EPC Construction Agreement dated 12-05-2018.
2. The respondent, National Highways Authority of India (NHAI), had awarded a four-lane highway construction package to the petitioner. The petitioner raised claims for price escalation and idle machinery charges under Section 73 of the Indian Contract Act, 1872, alleging that the respondent failed to provide 90% unencumbered Right of Way (RoW) within the stipulated period.
3. Mr. Sethi, learned Senior Counsel for the petitioner, contended that the majority award suffers from patent illegality on the face of the record under Section 34(2A) of the Arbitration and Conciliation Act. He submitted that the Arbitral Tribunal completely ignored contemporaneous correspondence dated 20-11-2019 and 15-02-2020 wherein NHAI admitted delay in forest clearances.
4. In support of his contentions, counsel relied upon the decision reported in (2015) 3 SCC 49 in the case of Associate Builders v. Delhi Development Authority, wherein the Supreme Court laid down the contours of the public policy test. He further referred to the ruling reported in (2019) 15 SCC 131 in the case of Ssangyong Engineering & Construction Co. Ltd. v. National Highways Authority of India holding that an award ignoring vital evidence is perverse.

5. Mr. Nanda, learned counsel appearing for the respondent NHAI, defended the impugned award. He argued that the Arbitral Tribunal is the ultimate master of quantity and quality of evidence. Under Section 34 of the Arbitration and Conciliation Act, the court cannot sit as an appellate court to re-appreciate factual findings.

6. Having examined the arbitral record and the award, this Court finds that the Arbitral Tribunal failed to consider Ex. P-14 and Ex. P-18 which established site handover defaults. However, interference with arbitral awards is circumscribed. The findings on liquidated damages cannot be sustained as no loss was proved under Section 74 of the Indian Contract Act.

7. Consequently, the petition under Section 34 is partly allowed and the award to the extent of liquidated damages is set aside.

Prathiba M. Singh, J.